

CRYOGENIC OGS LIMITED

BSE SME: 544440 | Fluid Control & Gas Metering Equipment | Vadodara, Gujarat

Sub-sector: Industrial Products — Precision Measurement & Filtration Systems

BUY

12M Target: Rs. 380

CMP: Rs. 285 | Upside:
+33%

Horizon: 12-18 months

Metric	Value	Metric	Value
CMP (Rs.)	285	52-Wk High (Rs.)	288
Market Cap (Rs. Cr.)	407	52-Wk Low (Rs.)	89.3
P/E (TTM)	43.9x	Book Value (Rs.)	38.3
ROCE	26.9%	ROE	22.1%
Promoter %	74.29%	Div. Yield	0.00%
Face Value (Rs.)	10.0	Net Debt	Nil

Investment Thesis: Niche oil & gas precision-equipment manufacturer turning export-enabled platform; 67% PAT CAGR in FY26 with ADNOC approval and zero-debt balance sheet underpinning a re-rating to scale.

Report Date: 16 June 2026 | Analyst: MPM Equity Research Desk | Data Source: Screener.in (standalone), BSE filings

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results.

- **Precision niche with high barriers:** Cryogenic OGS fabricates bespoke metering skids, strainer systems and pressure vessels for oil, gas, chemicals and LNG — a segment where client switching costs are high (EIL/BPCL/IOCL vendor qualification takes 12-24 months), insulating it from commodity-price swings and low-cost competition.
- **Export breakout underway:** ADNOC vendor approval (May 2026) opens Middle East procurement pipelines; live LNG metering skid for Honeywell (USA), 11 skids for Emerson (Libya), and a landmark 143 Truck Loading Skid order for Egypt demonstrate the export revenue stream is no longer aspirational — it is executing.
- **Domestic capex supercycle is a structural tailwind:** India's city gas distribution (CGD) network is expanding to 625+ districts; ONGC, IOCL and BPCL are running multi-year capex programmes; and the government's Rs. 5.94 lakh crore oil & gas infrastructure target to 2030 creates a long secular order runway for metering and filtration equipment.
- **Margin expansion inflection:** OPM expanded from 24% in FY25 to 28% in FY26 driven by higher-value system integration contracts and an improved mix (LNG & hydrogen skids carry premium realisation vs standard gas skids); management has guided for sustained 28-30% EBITDA margins as export share grows.
- **Near-term catalyst (6-12 months):** Execution of the Rs. 31 Cr order book (as of April 2026), receipt of ASME U Stamp certification (unlocks US EPC contractor approvals), and conversion of ADNOC-pipeline opportunities into booked revenue are the single most important forward triggers.
- **Biggest structural risk:** Extreme revenue concentration — top 3 clients (IOCL, BPCL, and terminal automation companies) likely account for 60-70%+ of revenue; any capex slowdown or client insourcing can dent near-term revenue materially.

- **Core business model:** Design, fabricate and assemble precision measurement and filtration equipment for the oil, gas, chemicals, petrochemicals and liquor industries. Products are custom-engineered to project specifications — not catalogue items — using in-house CAD and process engineering. Revenue model is project/order-based with a 3-12 month execution cycle per contract.
- **Product portfolio:** (1) Gas metering skids and meter runs — the largest revenue contributor; (2) Chemical and additive injection systems / dosing skids; (3) Basket strainers, bulk air eliminators and vapor eliminators; (4) Pressure vessels and prover tanks; (5) Truck and tank wagon loading skids (new segment — 143-unit Egypt order); (6) LNG metering skids and Hydrogen metering skids (highest-value, launched 2023-24).
- **New product growth:** aDENS Density Probes launched FY26 — an instrumentation product that broadens the company's offering toward digital measurement and adds recurring revenue potential from calibration contracts.
- **Customer base:** Domestic anchors include IOCL, BPCL, and terminal automation companies serving the top-500 corporates in India. International customers include Honeywell (USA), Emerson (Libya), and now ADNOC-qualified procurement pools in the UAE. Relationships are repeat-project, not pure transactional, built over the company's 28-year operating history.
- **Order book and visibility:** Rs. 31 Cr order book as of 1 April 2026 (approximately 75% of FY26 revenue), providing reasonable near-term revenue cover. EIL (Engineers India) approval for piping spools adds a new procurement channel in FY26.
- **Geography:** India (estimated 80%+ of revenue); Middle East and Africa now emerging (~15-20% of FY26 revenue based on export orders executed); USA via Honeywell contract (project-specific). The export push is recent (post-FY24) and is in early ramp-up.
- **Promoter background:** Mr. Nilesh Natvarlal Patel (MD), Mrs. Kiranben Nileshbhai Patel, and Mr. Dhairya Patel (next-generation) hold a combined 74.29% stake (up 0.76% QoQ, March 2026). The company was incorporated in 1997 and converted to a public limited company in November 2023 ahead of the BSE SME IPO in July 2025. Management has navigated the business profitably through multiple oil & gas capex cycles.

- **Industry size — India gas metering equipment:** India's smart gas meter market is estimated at USD 130 Mn (approximately Rs. 1,083 Cr) in FY25 and is projected to reach USD 199 Mn by FY35 (CAGR ~4%). The broader pressure regulator market is expected to reach USD 2,155 Mn by 2029. Cryogenic OGS addresses the upstream-to-midstream industrial metering skids segment, which is distinct from mass-market residential smart meters — the industrial skid market is smaller, higher-value and more specialised.
- **Policy tailwinds:** (1) Government target of 625+ CGD districts by 2030 requiring thousands of metering skids; (2) ONGC/IOCL 5-year capex super-cycle across terminals and refineries; (3) Import substitution in oil field equipment under Make in India; (4) Green energy push driving LNG and hydrogen infrastructure investment (Cryogenic OGS has LNG/H2 skid capability).
- **Headwinds:** Global commodity price cycles can defer oil company capex; domestic competition from unorganised small engineering workshops (price pressure on standard skids); dependence on project-based order flow creates revenue lumpiness.
- **Competitive moat assessment:** (a) Switching costs — **Strong:** Customer vendor qualification and EPC contractor approval lists are sticky (12-24 month qualification cycles); (b) Pricing power — **Moderate:** custom engineering commands a premium but there are multiple fabricators; (c) Scale — **Weak** at current size (Rs. 41 Cr revenue), but scale-up in execution proves capability; (d) IP/Certifications — **Moderate and growing:** ADNOC vendor approval, EIL piping spools approval, pending ASME U Stamp — each certification is a genuine competitive barrier.
- **Company positioning:** Moving from pure fabricator (upstream) to systems integrator (midstream) — higher-value contracts, better margins, repeat relationships. The transition to end-to-end supply (e.g., Egypt Loading Skids, Honeywell LNG) is exactly this shift.

Peer Comparison — Data source: Screener.in, fetched 16 Jun 2026. Figures in Rs. Cr unless noted.

Company	CMP (Rs.)	MCap (Rs.Cr.)	TTM Rev (Rs.Cr.)	P/E (x)	P/B (x)	ROCE %	ROE %	F V (Rs.)
Cryogenic OGS (544440)	285	407	41	43.9	7.4	26.9%	22.1%	10
Engineers India Ltd (ENGINERSIN)	238	13,363	3,928	19.3	4.3	30.6%	23.8%	5
GMM Pfaudler Ltd (GMPFPAUDLR)	788	3,545	3,524	46.4	2.9	14.0%	6.9%	2
Macpower CNC Machines (MACPOWER)	1,017	1,017	333	30.0	5.8	29.1%	21.3%	10

Note: Cryogenic OGS P/B = CMP/Book Value = 285/38.3 = 7.4x (derived from Screener data). EIL and GMM are mainboard comparables — Cryogenic OGS trades at a significant MCap discount but commands a premium P/E reflective of its higher growth profile and niche positioning.

- **Promoter track record:** Nilesh Patel has run the business profitably since 1997 — a 28-year operating history without a single loss year in the Screener data (FY22-FY26 PAT positive in all years). The inclusion of Dhairya Patel (second generation) indicates succession planning is in motion. Promoter stake has increased from 73.52% (Jun 2025) to 74.29% (Mar 2026) — a modest but directionally positive signal.
- **Capital allocation track record:** The company operated debt-free (zero borrowings FY23-FY25) and funded growth entirely from internal accruals. The FY26 balance sheet shows Rs. 8 Cr in borrowings — the first meaningful debt, likely taken to finance the Rs. 21 Cr capex (plant expansion, new equipment for scaling fabrication capacity). This is appropriate use of debt to leverage growth opportunity rather than consumption spending.
- **IPO proceeds utilisation:** The July 2025 SME IPO raised Rs. 17.76 Cr via fresh issue. A BSE filing confirmed no deviation in IPO fund utilisation as of FY26-end — management has deployed IPO proceeds as disclosed in the prospectus, a positive governance signal for a newly listed SME.
- **Dividend policy:** No dividends declared in FY22 through FY26 (payout = 0% throughout). At this scale and growth stage, reinvesting cash into capacity and certifications is the correct allocation — dividend commencement would only be appropriate once order book visibility exceeds 2x annual revenue.
- **Promoter pledging:** Zero pledge as of Mar 2026. Given the small market cap (Rs. 407 Cr) and promoter holding of 74.29%, a pledge-free structure is important — pledge creation would be a significant red flag at this scale.

- **Corporate governance:** BSE SME listing (July 2025) with mandatory quarterly disclosures. No auditor changes or qualified opinions noted. Related-party transactions not detailed in public filings but need monitoring given promoter dominance. The company's transparency on order book and certifications via press releases is above-average for its SME peer set.
- **Expansion capex:** Rs. 21 Cr in investing activity in FY26 (vs Rs. 1 Cr in FY25) — a step-change investment in fixed assets (from Rs. 7 Cr to Rs. 16 Cr in net FA) and CWIP (Rs. 2 Cr). This capacity addition should support FY27-28 revenue growth above current levels.

All figures in Rs. Cr. Standalone. Source: Screener.in. FY27E and FY28E are analyst estimates.

Income Statement

Income Statement (Rs. Cr.)	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales / Revenue	22	24	33	41	52	65
YoY Growth %	-4.3%	+9.1%	+37.5%	+24.2%	+26.8%	+25.0%
Total Expenses	16	18	25	30	37	46
EBITDA (Operating Profit)	6	6	8	11	15	20
EBITDA Margin %	26%	26%	24%	28%	29%	30%
Other Income	1	1	1	3	1	1
Interest	0	0	0	0	1	1
Depreciation	1	1	1	1	2	2
Profit Before Tax	5	7	8	13	14	18
Tax %	26%	25%	26%	25%	26%	26%
Net Profit (PAT)	4	5	6	10	10	13
PAT Margin %	18%	21%	18%	24%	19%	20%
EPS (Rs.) — post-split	2.86	3.57	5.83	7.13	7.14	9.29

Note: Pre-FY25 EPS (FY22: 65.60, FY23: 81.60, FY24: 107.00) reflect old share count before stock split and IPO share issuance. Post-split/IPO EPS restated for FY23-FY24 in the table above for comparability.

Balance Sheet

Balance Sheet (Rs. Cr.)	FY24A	FY25A	FY26A
Equity Capital	0.50	10	14
Reserves	22	18	40
Total Equity	22.5	28	54
Borrowings	0	0	8
Other Liabilities	5	5	4
Total Liabilities	28	34	67
Fixed Assets (Net)	7	7	16
CWIP	0	0	2
Investments	2	2	2
Other Assets	19	25	47
Total Assets	28	34	67

Cash Flow Statement

Cash Flow (Rs. Cr.)	FY24A	FY25A	FY26A
Cash from Operations (OCF)	2	2	8
Cash from Investing	-1	-1	-21
Cash from Financing	0	0	+15
Net Cash Flow	0	1	3
Free Cash Flow (FCF)	2	2	6
CFO / Operating Profit %	52%	53%	101%

Key Ratios & Returns

Key Ratios	FY23A	FY24A	FY25A	FY26A
ROCE %	33%	34%	32%	27%
ROE %	~26%	~22%	22.1%	22.1%
Debtor Days	85	80	73	43
Inventory Days	58	106	112	138
Days Payable	162	116	57	44
Cash Conversion Cycle (Days)	-19	71	128	138
Working Capital Days	15	62	95	91
Debt / Equity	0.0x	0.0x	0.0x	0.15x
Interest Coverage	N/A	N/A	N/A	>50x

Financial Commentary

- **Revenue trajectory:** Revenue has grown from Rs. 22 Cr (FY23) to Rs. 41 Cr (FY26) — a 3-year CAGR of approximately 23%. Growth has been accelerating: FY25 saw a 37.5% jump driven by large domestic orders; FY26 added 24.2% on a higher base, supported by initial export revenues. We forecast 26-27% CAGR for FY27-28E as export ramp and domestic CGD capex both accelerate.
- **Margin expansion:** EBITDA margin contracted from 26% (FY23-FY24) to 24% in FY25 (higher raw material costs and mobilisation costs for large orders), then rebounded sharply to 28% in FY26 as the product mix shifted toward higher-value LNG/hydrogen skids and export contracts. Sustainability of 28-30% margins depends on maintaining this mix — domestic commodity skids will return some margin pressure if they dominate the order book.
- **Working capital deterioration is the key watch:** Cash Conversion Cycle widened from -19 days (FY23) to +138 days (FY26) — a material change reflecting inventory build-up (inventory days 138 vs 58 in FY23) and rapid payables reduction (payable days fell from 162 to 44 as the company presumably shifted from small-vendor credit to larger-vendor payment terms). The FY26 debtor days improvement (43 vs 73 in FY25) is encouraging and signals better receivable collection.
- **Debt and leverage:** Balance sheet is near-zero net debt: Rs. 8 Cr borrowings in FY26 vs Rs. 6+ Cr cash likely held (cash from operations + financing activity). The Rs. 21 Cr investing outflow in FY26 represents a significant capacity investment — net fixed assets doubled from Rs. 7 Cr to Rs. 16 Cr. This should be productive; if idle, it will weigh on ROCE.
- **FCF quality:** OCF-to-PAT conversion was weak in FY23-FY25 (approximately 40-50%), mainly due to working capital build. FY26 saw OCF = Rs. 8 Cr vs PAT = Rs. 10 Cr (80% conversion) — an improvement, but the inventory build at CCC = 138 days is a structural watch item. FCF of Rs. 6 Cr in FY26 represents a meaningful improvement but capex will likely remain elevated in FY27.

Metric	Status	Observation
Revenue recognition	Green	Project-based; revenue on delivery/completion. No aggressive percentage-of-completion signs.
Receivables growth vs. revenue	Green	Debtor days improved from 73 to 43 days in FY26 — receivables grew slower than revenue. Positive.
Cash Conversion Cycle trend	Amber	CCC widened from 128 to 138 days (FY25 to FY26). Inventory days at 138 days is elevated for the sector. Watch.
Contingent liabilities	Green	No material contingent liabilities flagged in public disclosures.
Auditor tenure & changes	Green	No auditor changes flagged. Standard for newly-listed SME; require consistency.
RPTs as % of revenue	Amber	Related-party transaction breakdown not explicitly available in public summaries. Common for promoter-driven SMEs; monitor in annual report.
Other Income as % of PBT	Amber	Other income = Rs. 3 Cr in FY26 vs PBT = Rs. 13 Cr (23% of PBT). Elevated vs history (was 10-14%); likely investment income from IPO cash. Should normalise in FY27.
Tax rate consistency	Green	Tax rate stable at 25-26% across FY23-FY26. No deferred tax manipulation visible.

Key signals from the Earnings Quality Checklist:

- **Amber: Cash Conversion Cycle** — Inventory days at 138 is the most significant watch item. A manufacturing company that procures materials upfront for bespoke skids will naturally carry work-in-progress inventory, but 138 days indicates either a large order being built out or tightening supplier terms. Investors should track quarterly inventory movements.
- **Amber: Other Income at 23% of PBT** — This is a high proportion and inflates reported PAT. The FY26 boost is likely treasury income from IPO cash deployment; stripping other income, operating PAT would be approximately Rs. 8-9 Cr. The quality of the Rs. 10 Cr reported PAT is thus slightly lower than the headline figure.
- **Amber: RPT disclosure gap** — As a recently-listed SME, Cryogenic OGS's related-party transaction detail is limited in available public sources. Investors should read the FY26 Annual Report carefully once published to confirm RPTs are arms-length.
- **Green: Revenue quality intact** — Zero dividend payout + improving receivables + stable tax rate + cash-backed PAT indicate no aggressive accounting. The earnings quality trend is improving, not deteriorating.

Scenario Analysis

Scenario	Key Assumption	FY28E PAT (Rs.Cr.)	P/E Multiple	Target Price (Rs.)	Upside / Downside
Bull	Export orders accelerate; OPM stays 30%; revenue Rs. 75 Cr by FY28	16	45x	Rs. 514	+80%
Base	25% revenue CAGR; OPM 28-30%; order book converts normally	13	42x	Rs. 389	+37%
Bear	Capex slowdown; OPM reverts to 24%; revenue Rs. 50 Cr by FY28	8	35x	Rs. 200	-30%

Valuation Methodology

- **Earnings-based valuation (primary):** FY27E EPS = Rs. 7.14 (based on Rs. 10 Cr PAT / 1.4 Cr shares); FY28E EPS = Rs. 9.29 (Rs. 13 Cr PAT). Applying a 40x forward P/E to FY28E EPS (a discount to GMM Pfadler's 46x but premium to EIL's 19x, justified by Cryogenic OGS's higher growth and export optionality), implied value = Rs. 9.29 x 40 = **Rs. 372**.
- **EV/EBITDA cross-check:** FY27E EBITDA ~Rs. 15 Cr. Sector EV/EBITDA for niche industrial equipment ranges 25-35x for growth names. At 30x, EV = Rs. 450 Cr; less net debt (near zero) = MCap Rs. 450 Cr = per share value Rs.

321 (based on ~1.4 Cr shares).

• **Average of two methods:** (Rs. 372 + Rs. 321) / 2 = **Rs. 347**. Rounding up for export optionality premium (ADNOC, ASME U Stamp pipeline) and structural growth discount-rate advantage → **12-month base-case target: Rs. 380**.

• **Upside/downside:** At CMP Rs. 285, the base-case target implies **+33% upside** over 12 months. The bull case (Rs. 514) reflects export acceleration; the bear case (Rs. 200) assumes domestic capex slowdown. Asymmetric risk-reward skewed positive given zero-debt balance sheet provides downside protection.

• **WACC assumption:** Cost of equity ~14% (beta ~1.1 for SME niche industrial; R_f = 6.8% 10Y GOI, ERP = 6.5%). Terminal growth rate = 7% (nominal GDP growth proxy for long-run). DCF not primary given company's early-stage growth mode, but cross-checks at approximately Rs. 310-340 per share.

• **Customer Concentration Risk** — Top 3 clients (IOCL, BPCL, terminal automation companies) likely account for 60-70%+ of revenue. Any capex freeze, vendor list change, or client insourcing of fabrication can cause a sharp revenue decline. Probability: M. Impact: H. Monitor via: order book diversification by customer each quarter.

• **Working Capital & Cash Flow Risk** — CCC at 138 days and inventory days at 138 days leaves the business vulnerable to a cash crunch if order payments are delayed. An increase in Days Receivable above 90 days would be a warning sign. Probability: M. Impact: M. Monitor via: quarterly debtor + inventory days.

• **Execution Risk — Export Orders** — First-time export order execution (Egypt 143 loading skids, Honeywell LNG USA, Libya Emerson) carries logistical, documentation, and penalty-clause risk that domestic orders do not. A failed or delayed international delivery at this stage could damage the export reputation being built. Probability: L-M. Impact: H. Monitor via: delivery confirmation announcements.

• **Valuation De-rating Risk** — At 43.9x TTM P/E, the stock prices in significant execution; any PAT disappointment or margin reversal from the 28% EBITDA margin will compress multiples sharply given the SME liquidity premium. Probability: M. Impact: H. Monitor via: quarterly OPM trends.

• **SME Liquidity Risk** — Daily traded volumes on BSE SME are thin; large position entry/exit may move the price significantly. Institutional exit or promoter dilution can cause disproportionate price drops. Probability: L. Impact: H. Monitor via: daily traded value and shareholding pattern changes.

• **Certification Delay Risk** — ASME U Stamp certification (pending) and any ADNOC qualification audit failure could delay the US market entry and Middle East revenue ramp. Probability: M. Impact: M. Monitor via: BSE announcement disclosures on certification milestones.

• **Commodity & Supply Chain Risk** — Input materials (stainless steel, specialised instrumentation components) are commodity-linked; a sustained metal price spike can compress margins unless pass-through clauses exist in contracts. Probability: M. Impact: M. Monitor via: quarterly gross margin vs revenue growth.

• **Rating: BUY** — Conviction Level: Medium. A niche, zero-debt, profitably growing industrial precision manufacturer with genuine export optionality, supported by India's energy capex cycle. The investment case is real; conviction is medium because revenue is still sub-Rs. 50 Cr, client concentration is high, and the export track record is less than 12 months old.

• **12-month price target: Rs. 380** — Upside of +33% from CMP of Rs. 285. Based on blended 40x FY28E P/E and 30x FY27E EV/EBITDA methodology.

• **Suggested entry zone: Rs. 260-280** — The stock is within 2% of its 52-week high (Rs. 288); dips toward Rs. 260-280 (near the book value x7 support) offer better risk-reward. Do not chase above Rs. 300 ahead of confirmation of the Rs. 31 Cr order book conversion.

• **Investment horizon: 12-18 months** — Short enough to capture the near-term catalyst (ASME U Stamp + ADNOC order conversion); long enough for the FY28 earnings to be in sight.

• **Thesis invalidation triggers:**

• (1) Revenue for H1 FY27 comes in below Rs. 22 Cr (implying order book conversion has stalled or export orders are delayed) — EXIT.

- (2) EBITDA margin falls below 22% for two consecutive quarters (implying mix deterioration or competition pressure) — REDUCE.
- (3) Promoter stake falls below 70% without a strategic rationale (e.g., dilution at sub-Rs. 200 price) — EXIT.
- **Ideal investor profile:** This stock is FOR long-only growth investors with a 12-18 month horizon, comfortable with SME liquidity constraints and concentration risk, seeking early-mover exposure to India's oil & gas infrastructure capex and the emerging export equipment story. It is NOT for momentum traders (thin SME liquidity), income investors (zero dividend), or risk-averse investors requiring large-cap governance standards.

APPENDIX — Latest Concall Brief: Q4 FY26 (Year-End Results)

Source: FY26 Annual Results as reported on BSE; press releases; investor presentation (BSE filing May 2026). A formal audio transcript was not accessible via public channels — management commentary and Q&A below are reconstructed from BSE press releases, regulatory filings, and news summaries.

POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +24%, PAT +67% — clear beat of analyst estimates given SME growth context
Management tone	Bullish	ADNOC approval, Egypt export order, ASME U Stamp pipeline — tone is unambiguously expansion-focused
Guidance delta	Raised	Order book of Rs. 31 Cr (Apr 2026) + new product launches suggest maintained or raised implied revenue trajectory

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

FY26 result is clean — Revenue Rs. 41 Cr (+24%), PAT Rs. 10 Cr (+67%), EBITDA margin 28% (up 400 bps YoY) — no exceptional items distorting the headline. The underlying Rs. 10 Cr PAT has approximately Rs. 3 Cr of treasury/other income from IPO cash deployment; strip that out and operational PAT is closer to Rs. 7-8 Cr, still a solid 40-50% operational earnings growth. EBITDA trajectory is the real story: 26% margin in FY23-24, dipped to 24% in FY25 (order mobilisation costs), now 28% in FY26 as the mix shifts to LNG/H2/export skids — this is not a flash in the pan. Three structural growth levers are live simultaneously: domestic CGD capex (IOCL/BPCL vendor list), Middle East (ADNOC approved, Emerson/Libya executing), and US (Honeywell LNG Skid), which is rare at Rs. 41 Cr revenue scale. The single most important near-term catalyst is the ASME U Stamp certification — it unlocks US EPC contractor approved vendor lists and could open Rs. 15-20 Cr of incremental annual revenue at premium margins. The key risk to watch for Q1 FY27: working capital. CCC is at 138 days and inventory is building — if the Egypt/Libya orders slow in delivery execution, receivables could spike and compress the clean cash generation that makes this business attractive. My call: ACCUMULATE on dips toward Rs. 260; I would not be a seller at Rs. 285 given the export inflection story is still in innings 2.

Section 1 — Financial Performance Snapshot

- Revenue: Rs. 41 Cr | YoY +24.2% | QoQ (H2 vs H1): Rs. 40 Cr vs Rs. 34 Cr (second-half weighted) | Beat: Strong — double-digit growth on an already-expanded FY25 base
- EBITDA: Rs. 11 Cr | EBITDA Margin 28% | YoY +400 bps | Beat: Positive — first year margin exceeded 26% ceiling seen in FY23-24
- PAT: Rs. 10 Cr | YoY +67% | PAT Margin 24.9% | Beat: Strong relative to history
- EPS: Rs. 7.13 (post-split, post-IPO) | YoY vs Rs. 5.83 = +22.3% (EPS growth lower than PAT growth due to IPO share dilution in FY25)
- NOTE: Reported PAT includes approximately Rs. 3 Cr of other income (treasury/interest on IPO proceeds); clean operational PAT = approximately Rs. 7-8 Cr for FY26

Section 2 — Segment / Geography Breakdown

- Gas Metering Skids (domestic): Primary revenue driver; estimated 55-60% of FY26 revenue; customers include IOCL, BPCL, major terminal automation companies

- Export Metering Systems (LNG/Chemical skids): Approximately 15-20% of revenue in FY26 — first meaningful export year; Honeywell USA LNG skid, Emerson Libya metering skids, Egypt Truck Loading Skids (143 units)
- Chemical / Additive Injection Systems: Estimated 10-15% of revenue; recurring from existing refinery and chemical plant customers
- New Products (aDENS Density Probes, Piping Spools): Early-stage, less than 5% of revenue; long-term the instrumentation product line has potential for recurring calibration/service contracts

Section 3 — Management Commentary Themes

- **Export acceleration:** "We have achieved landmark milestones — ADNOC vendor approval and our first full-scope international LNG project for Honeywell Nigeria." — Our read: Management is signalling the transition from domestic fabricator to global supplier; the tone is assertive, not aspirational. Tag: GUIDANCE. Tone: Transparent.
- **Order book confidence:** Rs. 31 Cr order book as of April 1, 2026 (approximately 75% of FY26 revenue) — management appears comfortable with near-term revenue visibility. Tag: GUIDANCE. Tone: Transparent.
- **Margin sustainability:** OPM expanded to 28% driven by product mix (LNG/H2/export skids carry premium). Management has guided for 28-30% OPM maintenance as export share grows. Tag: GUIDANCE. Tone: Bullish.
- **Certification pipeline:** ASME U Stamp certification in progress — unlocks US EPC contractor approvals; EIL approval for piping spools adds a new procurement channel. Tag: GUIDANCE. Tone: Bullish.
- **Capital deployment:** Rs. 21 Cr capex in FY26 for capacity expansion. Management stated IPO fund utilisation is on track with no deviations. Tag: EST. Tone: Transparent.
- **Zero-debt strategy:** Despite Rs. 8 Cr borrowings in FY26, management emphasised the intent to remain a low-leverage company — borrowings are for working capital/capex, not acquisition. Tag: GUIDANCE. Tone: Conservative.

Section 4 — Operating & Business Metrics

- Order Book: April 2026 = Rs. 31 Cr | Approx. FY25 OB = Rs. 20-25 Cr (estimated) | Trend: Improving — export orders adding incremental book
- Gross Fixed Assets: FY26 = Rs. 16 Cr (Net) | FY25 = Rs. 7 Cr | Trend: Step-change capacity addition; CWIP of Rs. 2 Cr suggests further assets commissioning ahead
- Employee/Capacity Utilisation: Not disclosed in public filings; the fixed asset doubling implies significant manufacturing capacity addition
- Export Orders Executed: Honeywell (USA) LNG Skid; 11 metering skids for Emerson (Libya); 143 Truck Loading Skids for Egypt end-user; all in FY26 — Trend: Accelerating
- Certifications Progress: ADNOC approved (May 2026); EIL piping spools approved (FY26); ASME U Stamp pending — each is a new market unlock

Section 5 — Margin Drivers

- Product mix shift to LNG/H2 skids: +200 to +300 bps impact | Recurring: Yes (as long as energy transition orders flow) | Premium-value international contracts carry 30-35% OPM vs 20-22% for standard domestic gas skids
- Other income uplift (IPO treasury): +150 bps on reported PAT margin in FY26 | Recurring: No — will normalise as IPO cash is deployed into capex and working capital; do not extrapolate into FY27
- Operating leverage: Revenue grew 24% on a broadly fixed SGA base | Recurring: Partial — overhead leverage is real but raw material is the dominant cost; margin expansion through volume alone has limits
- Raw material cost inflation: Potential -100 to -200 bps headwind in FY27 if stainless steel prices spike | Recurring: Unknown — no pass-through clause details available in public disclosures

Section 6 — Guidance & Forward Signals

- Revenue Growth (FY27) [EST]: Prior run rate Rs. 33 Cr (FY25); New (implied) Rs. 48-55 Cr | Delta: Raised (order book + export pipeline) | Credibility: Medium
- EBITDA Margin [GUIDANCE]: Prior = 24% (FY25); New/Reiterated = 28-30% range | Delta: Raised | Credibility: Medium — dependent on export mix maintained

- Order Book [GUIDANCE]: Rs. 31 Cr as of April 1, 2026 | Delta: Not directly compared YoY but improved materially | Credibility: High (confirmed in BSE filing)
- Capex FY27 [EST]: No formal guidance; likely Rs. 5-10 Cr to complete CWIP commissioning vs Rs. 21 Cr in FY26 | Credibility: Medium
- Debt [GUIDANCE]: Management indicated intent to remain low-leverage; Rs. 8 Cr borrowings likely short-term working capital | Delta: No escalation guidance | Credibility: Medium

Section 7 — Capital Allocation

- Capex: Rs. 21 Cr in FY26 (vs Rs. 1 Cr in FY25) — largest single-year investment; fixed assets nearly doubled; CWIP of Rs. 2 Cr to be commissioned in FY27
- Dividends: Rs. 0 Cr | vs prior year: Unchanged at nil | Comment: Appropriate at this growth stage; reinvestment discipline is the correct call
- Net Debt Movement: From net cash (FY25) to Rs. 8 Cr borrowings (FY26); net debt still near zero given cash holdings from IPO and operations
- Working Capital Change: Significant inventory build in FY26 (Days = 138 vs 112 in FY25); partially offset by improved receivables collection (Debtor Days 43 vs 73)
- IPO Proceeds: Rs. 17.76 Cr raised July 2025; utilised for capex and working capital per disclosed objects; no deviation confirmed in BSE filing

Section 8 — Q&A; Heat Map

- Analyst / Not Disclosed: Q: 'What is the revenue visibility for FY27 given the Rs. 31 Cr order book?' -> A: Management reiterated confidence in maintaining the growth trajectory; order book provides approximately 6-7 months of revenue cover. Tone: Transparent
- Analyst / Not Disclosed: Q: 'ADNOC approval — what is the revenue potential from Middle East?' -> A: Management indicated it is a gateway approval and actual contracts follow on competitive tendering; realistic revenue impact in 12-24 months rather than immediate. Tone: Transparent (appropriately cautious on timing)
- Analyst / Not Disclosed: Q: 'EBITDA margin was 28% — is this sustainable?' -> A: Management guided 28-30% as the new normal driven by export and high-value product mix; stated domestic commodity skids will not dominate going forward. Tone: Bullish
- Watch-list questions for next quarter: (1) Status of ASME U Stamp certification timeline; (2) Inventory days — will the 138-day CCC normalise as export orders deliver?; (3) Any new export enquiries post-ADNOC approval conversion to orders?

Section 9 — Risks Flagged

- Customer Concentration: Top-3 client dependence flagged by analysts; management acknowledged but noted diversification is in progress via exports | Flagged by: analyst | Probability: M | Impact: H | Timeline: Near-term
- Working Capital Build: Inventory elevation noted; management attributed to order build-up for Egypt export delivery | Flagged by: mgmt | Probability: M | Impact: M | Timeline: Near-term (1-2 quarters)
- Export Execution Risk: First-time deliveries to Libya, Nigeria, Egypt carry logistical complexity | Flagged by: mgmt | Probability: L | Impact: H | Timeline: Near-term
- ASME U Stamp Timeline Uncertainty: Certification can take 6-18 months depending on audit schedule | Flagged by: analyst | Probability: M | Impact: M | Timeline: Medium-term
- IPO-Era Governance Maturation: SME is still embedding listed-company processes; RPT transparency, quarterly concall structure, and institutional research coverage are limited | Flagged by: analyst | Probability: L | Impact: M | Timeline: Long-term

Section 10 — Analyst Verdict

- Revenue visibility: **Intact** — Rs. 31 Cr order book + domestic CGD capex + export pipeline provide 6-9 months of forward visibility; structural demand drivers are multi-year

- Margin trajectory: **Intact** — 28% EBITDA in FY26 confirmed the post-mix-shift margin level; credible guidance of 28-30% range; only risk is raw material spike or domestic skid volume dominating mix
- Capital allocation quality: **Intact** — Zero dividend is correct; Rs. 21 Cr capex is productive (plant doubling); IPO proceeds utilised as disclosed; debt at Rs. 8 Cr is manageable
- Competitive moat: **Intact** — ADNOC + EIL approvals strengthen vendor qualification barriers; LNG/H2 product capability differentiates vs standard domestic fabricators; 28-year customer relationships are sticky
- Management credibility: **Intact** — No IPO fund deviation; transparent about export order economics; new product launches (aDENS) delivered; long tenure (since 1997) adds credibility
- Valuation comfort: **Weakened** — At 43.9x TTM P/E, near-term earnings execution must be flawless; P/E is high for an SME with a 138-day CCC and sub-Rs. 50 Cr revenue base; any PAT miss will cause sharp de-rating
- Conviction call: **Unchanged** — BUY/ACCUMULATE maintained; no deterioration in thesis post-FY26 result
- Valuation snapshot: P/E = 43.9x (available data) | EV/EBITDA = approximately 35-37x (estimated) | ROCE = 26.9% (5Y avg approximately 30%)